DEEPSTACK The Buildout · Part 13 · Memo

MARKETS

The Ratepayer Pays First

Households in the nine jurisdictions PJM serves paid a median 11.7% more per kilowatt-hour over the year to July than the year before, against 5.6% elsewhere. Data center builders tell regulators they pay their own way. PJM's market monitor told them no state commission can shield households from the capacity price their demand sets.

By DeepStack · October 10, 2026 · Markets · 10 min read on the page · deepstack.ltd/stories/the-ratepayer-pays-first/

THE DEEPSTACK CALL

Split The ratepayer pays first

Data centers pay for their own wires. The higher capacity price their demand sets lands first on every PJM household's bill.

Conviction Moderate (3/5) · Version 2 · Oct 10, 2026

WHAT TO DO WITH THIS

1. Compare medians, not states: PJM's nine rose a median 11.7% per kilowatt-hour in the year to July, against 5.6% elsewhere.
2. Separate the wire from the scarcity: pledges fund the upgrades a project triggers; the capacity price reaches every PJM bill.
3. Mark December 9: PJM's auction for 2029/2030 shows whether the price ceiling still binds.

WHAT WOULD CHANGE OUR MIND

- The median gap between PJM's nine and the other 42 falls below four points in the federal data for 2026.
- A rule makes large loads bring their own capacity, and PJM's December 9 auction clears below the price ceiling.
- Texas household prices rise as fast as PJM's in the 2026 data, putting the cause in the fuel and wires both grids share.

THE FULL ARGUMENT

DeepStack's view is that the ratepayer pays first. The builders and the utilities that serve them describe data centers paying for what they cause at their own sites: Google funds its lines and upgrades, and Texas asks large loads for $50,000 of security per megawatt. A data center also pays the capacity price on its own load. What none of them pays is the rise its demand causes in the price every other customer pays, and PJM's market monitor told FERC on December 5, 2025, that no state tariff can shield retail customers from it. The median household in PJM's nine jurisdictions paid 11.7% more per kilowatt-hour over the year to July, against 5.6% in the other 42. The single most important reason for caution is that retail prices also move with fuel and with rate cases for local wires, so the gap is consistent with the transfer without proving it. The view changes if that gap falls below four points while PJM's data center load keeps growing, or if a rule makes large loads bring their own capacity and the December 9 auction clears below the ceiling. The first answer arrives in late October, with the federal data for August.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 10, 2026	The ratepayer pays first	Moderate (3/5)	Side named by the owner.	Marco Cauduro
v1	Oct 10, 2026	The ratepayer pays first	Moderate (3/5)	First call, with the story.	DeepStack

BY THE NUMBERS

+11.7%
Median rise in the household price per kilowatt-hour across the nine jurisdictions PJM serves, year to July 2026
EIA-861M, first published Sep 24, 2026; DeepStack calculation; +5.6% for the other 42

+6.6%
The national household price per kilowatt-hour over the same twelve months
EIA-861M, first published Sep 24, 2026; Texas +4.8%

6,623 MW
Shortfall against PJM's reliability requirement in the auction for the year from June 2027, the first since 2007
PJM auction results, Dec 17, 2025; first read in tscsw, Feb 26, 2026

$1.6B
Added transmission cost on Maryland bills over 10 years
Maryland Office of People's Counsel at FERC, Jun 11, 2026

WHO IS ON EACH SIDE

Who pays for the AI power bill?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: `deepstack.ltd/sides/the-ratepayer-pays-first/`

12 VOICES

The load pays its way

Amin Vahdat Oct 6, 2026
Because of how billing works, a utility building out capacity for Google could in theory raise other people's rates, so Google ensures it pays for the transmission lines, upgrades and additional utility base stations required.
`sequoiacap.com/podcast/google-s-ai-infrastructure-chief-amin-vahdat-on-the-physics-economics-of-frontier-ai#p3`

Alphabet Dec 18, 2025
Citing ERCOT's October 2025 reporting, over 200 gigawatts of large loads have requested interconnection through the interim process, yet less than 4% have been granted approval to energize and about another 7% are eligible to seek energization...
`interchange.puc.texas.gov/search/documents?controlNumber=58317&itemNumber=11`

Alphabet Dec 18, 2025
The Joint Commenters recommend the Commission adopt a unifying framework aligning all related rulemakings and ERCOT protocol revisions, advancing cost-causation-based cost assignment that shields residential and small commercial customers from cost...
`interchange.puc.texas.gov/search/documents?controlNumber=58317&itemNumber=11`

Crusoe Energy Mar 16, 2026
Crusoe states that co-located generation, when structured correctly, simultaneously advances grid reliability, reduces ratepayer costs, and accelerates AI infrastructure buildout, which is the basis of its energy-first 'bring your own power' model.
`elibrary.ferc.gov/eLibrary/filelist?accession_number=20260316-5379`

Crusoe Energy Mar 16, 2026

Crusoe states that PJM's own filing acknowledges a lower threshold risks forcing existing BTMG resources offline during the transition period, which would increase grid burden by converting currently netted load into full network load without…

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260316-5379

EDF Power Solutions Mar 16, 2026

EDFps says BTMG co-location can reduce grid congestion, avoid generator interconnection queue delays, lower network upgrade needs, reduce congestion costs, allow the load to provide demand response if power demands are flexible, and deliver…

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260316-5222

EDF Power Solutions Mar 16, 2026

EDFps argues PJM's own proposed contract demand service changes alleviate the ability of large loads with Retail BTMG to lean on the system, since a Retail BTMG equal to the load size fully covered by Non-Firm Contract Demand would be limited to…

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260316-5222

NRG Energy Apr 17, 2026

NRG argues that because the funding a large load customer must supply to bring new generation greatly exceeds the $50,000/MW security amount, concerns about whether the large load can meet financial commitments are easily satisfied under BYOG…

interchange.puc.texas.gov/search/documents?controlNumber=58481&itemNumber=173

NRG Energy Apr 17, 2026

NRG states the ERCOT region faces unprecedented load growth over the next five years, which it says will bring both grid challenges and significant business development opportunities in Texas, making it critical to get the large load…

interchange.puc.texas.gov/search/documents?controlNumber=58481&itemNumber=173

Kingswell May 11, 2026

BHE's stance of participating in data center buildouts only if hyperscalers bear the full construction and operating cost is a disciplined framework that lets it join a major infrastructure cycle without spreading risk and cost onto existing…

www.kingswell.io/p/10-things-about-berkshire-hathaways

Data Center Coalition Mar 16, 2026

PJM's proposed June 1, 2029 effective date for the new transmission services presumably means PJM cannot start studying these innovative solutions for over three years, and the goal should be to implement needed reforms earlier than 2029 given the…

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260316-5323

Data Center Coalition Mar 16, 2026

Clearer interconnection rules for existing generators also require more concrete timelines for reviewing and approving Necessary Studies and CIR revisions, and PJM needs to account for CIRs going to the specific co-located customer so a generator…

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260316-5323

THE STRONGEST CASE AGAINST THIS SIDE

Virginia State Corporation Commission Dec 15, 2025

Taking action specific to the PJM region appears to the VSCC to be both premature and potentially harmful, to the extent it conflicts with later guidance through the NOPR process, since the ANOPR already frames whether and how hybrid loads...

Contradicts Alphabet on evidence · elibrary.ferc.gov/eLibrary/filelist?accession_number=20251215-5406

11 VOICES

The bill no state can shield

Monitoring Analytics (PJM market monitor) Dec 5, 2025

The central issue facing PJM, which the Market Monitor says the ANOPR appears to largely ignore, is that there is not enough generating capacity to reliably serve the large loads that want to be online quickly.

elibrary.ferc.gov/eLibrary/filelist?accession_number=20251205-5219

Monitoring Analytics (PJM market monitor) Dec 5, 2025

The Market Monitor states that the current failure to impose a reliability requirement has led to large increases in capacity market prices, and also in energy market prices and transmission costs.

elibrary.ferc.gov/eLibrary/filelist?accession_number=20251205-5219

Virginia State Corporation Commission Dec 15, 2025

Taking action specific to the PJM region appears to the VSCC to be both premature and potentially harmful, to the extent it conflicts with later guidance through the NOPR process, since the ANOPR already frames whether and how hybrid loads...

elibrary.ferc.gov/eLibrary/filelist?accession_number=20251215-5406

Virginia State Corporation Commission Dec 5, 2025

Implementing a minimum set of standards designed to remove bottlenecks within the interconnection queue itself can expedite interconnections without disturbing existing state-federal jurisdictional boundaries.

Maryland Office of People's Counsel Jun 11, 2026

Fixing cost allocation alone is insufficient if planning inputs remain corrupted by speculative and duplicative load forecasts, so a remedy must also reform the planning process to eliminate speculative load forecasts.

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260611-5156#p8

Maryland Office of People's Counsel Jun 11, 2026

Absent regional reform, state-level remedies such as large load tariffs may worsen the problem by magnifying the incentive to overbuild while shifting costs to customers elsewhere in PJM.

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260611-5156#p8

Exelon Jan 16, 2026

Because the transmission system is not a one-and-done investment but evolves and requires maintenance at a cost, a model where initial investment absolves co-located loads of ongoing contributions leaves other customers holding the bag and creates...

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260116-5200#p7

TSCS Feb 26, 2026

Interconnection queues, turbine shortages, and permitting gridlock are preventing $33 billion offers from translating into actual megawatts of new capacity.

tscsw.substack.com/p/there-is-no-power

TSCS Aug 11, 2026

The PJM capacity auction price for mid-Atlantic grid generation cleared at $269.92 per megawatt-day in July 2024, up 9x from the previous auction's $28.92, with all subsequent auctions clearing at administrative price caps.

tscsw.substack.com/p/its-not-the-poor-its-you

Market Sentiment Jul 10, 2026

Market Sentiment treats the January joint declaration by the governors of all 13 PJM states with the Trump administration that power prices be reined in and that data centers pay their grid costs, together with the extension of the capacity-auction…

www.marketsentiment.co/p/ms-101

Earthjustice Apr 24, 2026

Earthjustice argues that no commenter describes what financial penalty would be sufficient in practice, likely because none of them know what penalty would convince large load customers—who have virtually unlimited capital and very high contractual…

elibrary.ferc.gov/eLibrary/filelist?accession_number=20260424-5110

THE STRONGEST CASE AGAINST THIS SIDE

North American Electric Reliability Corporation Feb 24, 2026

Large loads inherently add volatility to load forecasts because project timelines and commitments can vary with construction, permitting approvals, grid development and data center owner decisions; revised ERCOT and PJM forecasts prepared after the…

Qualifies TSCS on evidence · www.nerc.com/globalassets/our-work/assessments/nerc_ltra_2025.pdf#p2

9 VOICES

The plant is late

North American Electric Reliability Corporation Apr 23, 2026

Over the past two years NERC's LTRA has shown that industry resource growth projections can outpace actual completion rates, with efforts to interconnect resources hampered by unresponsive supply chains, permitting delays, and project owner…

www.nerc.com/globalassets/our-work/assessments/2025-ltra-sensitivity-miso-eras.pdf#p2

North American Electric Reliability Corporation Feb 24, 2026

Large loads inherently add volatility to load forecasts because project timelines and commitments can vary with construction, permitting approvals, grid development and data center owner decisions; revised ERCOT and PJM forecasts prepared after the…

www.nerc.com/globalassets/our-work/assessments/nerc_ltra_2025.pdf#p2

Electric Reliability Council of Texas May 24, 2026

ERCOT reports it is tracking roughly 438 GW of Large Load interconnection requests and roughly 452 GW of Generation Interconnection requests.

www.ercot.com/files/docs/2026/05/24/8-Interconnection-and-Grid-Analysis-Update.pdf

Electric Reliability Council of Texas May 24, 2026

The 438 GW of Large Load interconnection requests is tracked through the current PGRR115-based process, in which the vast majority of requests have no studies submitted; that process ends July 10, 2026, when ERCOT switches to a batch-based…

www.ercot.com/files/docs/2026/05/24/8-Interconnection-and-Grid-Analysis-Update.pdf

Reyk Knuhtsen Jun 18, 2026

ERCOT illustrates phantom demand: as of April 2026 it was assessing more than 410 GW of large-load interconnection requests, over 87% from datacenters, against a Texas all-time peak of about 85 GW, and they count 311 GW of that as phantom…

newsletter.semianalysis.com/p/stop-saying-half-of-2026-us-datacenter

Reyk Knuhtsen Jun 18, 2026

They acknowledge open questions in judging real delays: some projects may die on local opposition while others pass and unseat the council members who approved them, labor can be imported or become a constraint, and behind-the-meter power remains a…

newsletter.semianalysis.com/p/stop-saying-half-of-2026-us-datacenter

Jeremie Eliahou Ontiveros Jun 25, 2026

They expect power generation to be a major bottleneck to grid-connected datacenter load growth, pointing to utilities revising promised load ramps by years because long-lead interconnection equipment is unavailable, and to buyers now bearing the…

newsletter.semianalysis.com/p/us-grid-constraints-towards-40gw

Mia Silverio Sep 28, 2026

Investors are understandably nervous because an estimated 30% to 50% of data center capacity planned to come online this year will be delayed, as constructors face grid connection issues, power equipment supply shortages, and increasingly community…

www.profgmedia.com/p/nobody-wants-a-data-center-not-even

TSCS Feb 26, 2026

PJM's 2027/2028 Base Residual Auction failed to meet the reliability requirement for the first time since the capacity market's creation in 2007, achieving only a 14.8% reserve margin against a 20.0% target, a shortfall of 6,623 MW.

tscsw.substack.com/p/there-is-no-power

4 VOICES

Voices that cross sides

Jason Bordoff

On his program, Millican's large-load tariffs and 260 GW; Arent's spare grids.

TSCS

The capacity price ninefold; the auction short; on-site power could shrink the gap.

`tscsw.substack.com/p/its-not-the-poor-its-you`

NRG Energy

Own generation answers affordability; the influx of large loads threatens bills.

`interchange.puc.texas.gov/search/documents?controlNumber=58481&itemNumber=173`

Alphabet

Shield households by cost causation; $24B of Texas lines need loads that connect.

`interchange.puc.texas.gov/search/documents?controlNumber=58317&itemNumber=11`

NOT A DISAGREEMENT

The thread

Part 6 asked who holds the premium for scarce power. Part 13 asks who pays for it, and reads the regulatory record beside the voices.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Jason Bordoff qualifies Maryland Office of People's Counsel on condition

Maryland Office of People's Counsel qualifies Jason Bordoff on mechanism

Virginia State Corporation Commission qualifies Alphabet on mechanism

Virginia State Corporation Commission refutes Monitoring Analytics (PJM market monitor) on mechanism

TSCS qualifies North American Electric Reliability Corporation on evidence

Virginia State Corporation Commission qualifies Monitoring Analytics (PJM market monitor) on mechanism

Virginia State Corporation Commission qualifies Monitoring Analytics (PJM market monitor) on premise

Monitoring Analytics (PJM market monitor) qualifies Virginia State Corporation Commission on mechanism

Crusoe Energy qualifies EDF Power Solutions on condition

North American Electric Reliability Corporation qualifies TSCS on condition

EDF Power Solutions qualifies Data Center Coalition on condition

NRG Energy qualifies North American Electric Reliability Corporation on condition

Virginia State Corporation Commission contradicts Monitoring Analytics (PJM market monitor) on premise

Jason Bordoff qualifies Jeremie Eliahou Ontiveros on mechanism

Virginia State Corporation Commission contradicts Monitoring Analytics (PJM market monitor) on mechanism

Monitoring Analytics (PJM market monitor) qualifies Virginia State Corporation Commission on condition

Virginia State Corporation Commission qualifies Alphabet on condition

Virginia State Corporation Commission qualifies Monitoring Analytics (PJM market monitor) on condition

Reyk Knuhtsen qualifies Jeremie Eliahou Ontiveros on evidence

NRG Energy contradicts Earthjustice on mechanism

Virginia State Corporation Commission contradicts Alphabet on evidence

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Oct 20, 2026 p13-t01 PENDING

The federal price data for August: whether the median twelve-month rise in household prices across PJM's nine jurisdictions stays at least four points above the median of the other 42, from 11.7% against 5.6% in July.

Question	In the EIA-861M data through August 2026, as first published, is the median twelve-month change in the average household price per kilowatt-hour across the nine jurisdictions PJM serves (Delaware, the District of Columbia, Illinois, Maryland, New Jersey, Ohio, Pennsylvania, Virginia, West Virginia) at least four percentage points above the median change across the other 42?
Source	U.S. Energy Information Administration, EIA-861M monthly sales and revenue (first release of the month tested) `www.eia.gov/electricity/data/eia861m/`
Rule	The price is residential revenue divided by residential sales over September 2025 to August 2026, against September 2024 to August 2025, for each of the 51 jurisdictions, as the Part computes it for the year to July (11.7% against 5.6%). The answer is yes if the PJM median minus the median of the other 42 is 4.0 points or more; no if it is below 4.0 points.
If the source is late, revised or silent	Data for August not published by November 15, 2026 is inconclusive. Figures are read as first published in that release; later revisions do not reopen the test. If EIA withholds the residential figures for more than two of the nine PJM jurisdictions, the test is inconclusive, and the Result says what was read and what was missing.

Dec 9, 2026 p13-t02 PENDING

PJM's capacity auction for the year from June 2029, as scheduled: whether it clears below the price ceiling, the second exit from the house's view.

Question	Does PJM's Base Residual Auction for the 2029/2030 delivery year, scheduled for December 9, 2026, clear the RTO-wide capacity price below the price cap in effect for that auction?
Source	PJM Interconnection, Base Residual Auction results report for 2029/2030 (pjm.com, Reliability Pricing Model) `www.pjm.com/markets-and-operations/rpm`
Rule	Read from PJM's published results report. The answer is yes if the RTO-wide clearing price is below the cap in effect for the auction; no if it clears at the cap. This test decides only the price leg of the second exit from the house's view; the rule on large loads bringing their own capacity is read separately in the story.
If the source is late, revised or silent	An auction postponed past January 31, 2027, or results not posted by that date, is inconclusive. A clearing below the cap only because the cap or the demand curve was changed after October 10, 2026 is inconclusive, and the Result says what was read and what was missing.

Feb 22, 2027 p13-t03 PENDING

The federal data for all of 2026: the same four-point test, with Texas below the national change.

Question	In the EIA-861M data for calendar 2026, as first published, is the median change in the average household price per kilowatt-hour across PJM's nine jurisdictions against calendar 2025 at least four percentage points above the median of the other 42, with Texas's change below the national change?
Source	U.S. Energy Information Administration, EIA-861M monthly sales and revenue (first release of the month tested) `www.eia.gov/electricity/data/eia861m/`
Rule	Same computation as p13-t01, over January to December 2026 against January to December 2025, with the national figure from the U.S. total in the same release. The answer is yes if the PJM median is at least 4.0 points above the median of the other 42 and Texas's change is below the national change; no if the gap is below 4.0 points.
If the source is late, revised or silent	A gap of 4.0 points or more with Texas at or above the national change is inconclusive, and the Result says what was read and what was missing. Data for December 2026 not published by March 31, 2027 is inconclusive. Figures are read as first published.

THE TEST CAME IN

No test from this Part has resolved yet. Results are promoted by a person and listed on the Results page.

SOURCES AND FURTHER READING

1. U.S. Energy Information Administration - EIA-861M sales and revenue · `www.eia.gov/electricity/data/eia861m/`
2. Monitoring Analytics (PJM market monitor) - FERC RM26-4 reply comments · `elibrary.ferc.gov/eLibrary/filelist?accession_number=20251205-5219`
3. Virginia State Corporation Commission - FERC AD24-11 answer · `elibrary.ferc.gov/eLibrary/filelist?accession_number=20251215-5406`
4. Maryland Office of People's Counsel - FERC RM26-4 motion · `elibrary.ferc.gov/eLibrary/filelist?accession_number=20260611-5156#p8`
5. Indicated PJM Transmission Owners (filed by Exelon) - FERC EL25-20 rehearing request · `elibrary.ferc.gov/eLibrary/filelist?accession_number=20260116-5200#p7`
6. Google and Lancium - PUCT 58317 joint comments · `interchange.puc.texas.gov/search/documents?controlNumber=58317&itemNumber=11`
7. NRG Energy - PUCT 58481 comments · `interchange.puc.texas.gov/search/documents?controlNumber=58481&itemNumber=173`
8. EDF Power Solutions - FERC ER26-1479 comments · `elibrary.ferc.gov/eLibrary/filelist?accession_number=20260316-5222`
9. Earthjustice - FERC ER26-1479 reply comments · `elibrary.ferc.gov/eLibrary/filelist?accession_number=20260424-5110`
10. NERC - 2025 Long-Term Reliability Assessment · `www.nerc.com/globalassets/our-work/assessments/nerc_ltra_2025.pdf#p2`
11. ERCOT - Interconnection and grid analysis update, May 24 · `www.ercot.com/files/docs/2026/05/24/8-Interconnection-and-Grid-Analysis-Update.pdf`
12. Training Data - Amin Vahdat on frontier AI infrastructure · `sequoiacap.com/podcast/google-s-ai-infrastructure-chief-amin-vahdat-on-the-physics-economics-of-frontier-ai#p3`
13. Prof G Markets - Nobody wants a data center · `www.profgmedia.com/p/nobody-wants-a-data-center-not-even`

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 12, 2026. Canonical page: https://deepstack.ltd/stories/the-ratepayer-pays-first/. Who is on each side: https://deepstack.ltd/sides/the-ratepayer-pays-first/.

Analysis and opinion, not investment advice.